# Neuland Laboratories Ltd

Concall Tracker · Q2-2027 update · Prepared 6 Nov 2026 · Ticker: NEULANDLAB · Builds on the Q1-2027 report

## 1. Snapshot

**What the business does:** Neuland makes active pharmaceutical ingredients (APIs), the actual chemical inside a medicine, and sells them to drug companies. It has two halves. GDS (Generic Drug Substances) makes APIs for off-patent medicines. CMS (Custom Manufacturing Solutions) is contract manufacturing, a CDMO (contract development and manufacturing organisation), where Neuland makes patented molecules for innovator and biotech clients. CMS has been the bigger half since FY26.

| Number | Value | What it means |
|---|---|---|
| Market value | ~₹25,300 cr | What the stock market says the whole company is worth. |
| Price-to-earnings (P/E) | ~56x | You pay about ₹56 for each ₹1 of yearly profit. Expensive, and this quarter's dip doesn't help. |
| Q2 FY27 total income | ₹457 cr | Sales plus other income for Jul-Sep 2026. Down from ₹516 cr a year ago and from ₹650 cr last quarter. |
| H1 FY27 total income | ₹1,107 cr | The first six months together, up about 36% on ₹817 cr last year. The half-year is the fairer way to judge a lumpy business. |
| Q2 FY27 operating margin (EBITDA) | 22.9% | EBITDA is operating profit before interest, tax and wear-and-tear. ₹23 per ₹100 of sales, down from 30.4% a year ago and below the 25% management told people to plan on. |
| Q2 FY27 net profit | ₹51 cr | Profit after all costs and tax, roughly half the ₹96 cr of the same quarter last year. |
| Net cash | ~₹208 cr | More cash than debt even after ₹261 cr of capex in six months. No balance-sheet worry. |

## 2. Concall coverage

Only the newest call was read in full this quarter. The backstory comes from our Q1-2027 and Q4-2026 reports, which together covered 14 calls.

| Quarter | Call date | Read? |
|---|---|---|
| Q4 FY23 → Q4 FY26 (13 calls) | May 2023 - May 2026 | Carried forward from earlier reports |
| Q1 FY27 (prior boundary) | 5 Aug 2026 | Read in the Q1-2027 report |
| Q2 FY27 | 3 Nov 2026 | Newly deep-read in full ★ |

### ★ Latest concall highlights - Q2 FY27 (call held 3 Nov 2026)

- **A soft quarter after two huge ones.** Total income ₹457 cr, down about 11% on last year and about 30% on Q1. Profit ₹51 cr, roughly half of last year. The CEO opened by saying it was "below the trend" but the half-year was "largely consistent with our expectations".
- **Why:** fewer big CMS shipments landed this quarter (pure timing, no launch fell away, the last launch was a year ago), specialty generic sales dipped because some customers had trouble making their own product (expected to normalise by Q4), and raw-material and freight costs rose on the wars abroad.
- **Guidance:** growth expectations "remain intact" for FY27 and FY28. Pushed for a number, the CEO declined: "It is not that we do not know, we just do not want to share." Last quarter he had said about 20%.
- **Big moves:** the peptide block at Unit 1 is now commissioned. First validation-batch revenue is 6-9 months out and real commercial revenue about 1.5-2 years out. Neuland also bought ~134 acres at Kakinada (Andhra Pradesh) for long-term expansion, with a right to ~60 more, and the board approved more land next to Unit 1. Three-year capex is pegged at about ₹1,700-1,800 cr.
- **Tone:** calm, not defensive. Customer enquiries (RFPs) this year are "the strongest to date" and late-stage (Phase 3) projects rose from 8 to 13. The CEO openly warned retail investors that bad quarters will come and he can't always explain them molecule by molecule.

**Business mix & capacity.** CMS brought in about ₹214 cr of Q2 revenue, nearly half the total, from 5-6 commercial molecules. The top 5 customers make up about 68% of revenue, so concentration is high. Neuland is mostly an exporter (US ~40% of revenue per earlier calls); no fresh domestic/export split was given. No utilisation number was given either. The new peptide block will run partly idle for the next 12-18 months, a cost Neuland carries itself. Working capital rose to 104 days from 84 last quarter, meaning more cash is stuck in stock and receivables.

### ★ Since our last report

Builds on the Q1-2027 report (call 5 Aug 2026). Prior verdicts: trigger YES, consistency YES.

| Prior read | What we said then | What the new call shows | Movement |
|---|---|---|---|
| Trigger: YES | Two big quarters back to back looked like a run-rate, not luck. | Q2 fell back hard. The half-year is still up about 36%, but it shows the business is still lumpy around ~3 molecules. | Slipping (quarter), On-track (half-year) |
| Consistency: YES | Under-promises, says "don't judge one quarter". | Said exactly that again and the half-year fits their story. But Q2 margin came in under their own 25% floor, and they backed off the 20% number. | Confirmed, with a dent |
| Peptide plant, Sept 2026 | Commissioning Sept, projects lined up. | Commissioned. Validation revenue in 6-9 months, commercial in 1.5-2 years. | On-track |
| "25%+ margin, rest is bonus" | A floor they set themselves. | Q2 at 22.9%, on lower volumes and dearer inputs. H1 still around 30%. | Slipping |
| Development pipeline | Two new late-stage projects. | Phase 3 projects up from 8 to 13, record enquiries, more big-pharma talks. | Improving |

**Verdict change:** both unchanged at YES. The trigger stays YES because the half-year is well ahead of the growth they talked about and nothing structural broke. The drop is the lumpiness they warned about, not a lost customer. It's a closer YES than last quarter though.

### ★ 3. Earning-trigger thesis

The driver hasn't changed. A handful of patented molecules Neuland makes for innovator clients are in full commercial production, and they pay off well when the orders ship. Q2 showed the flip side: when a big shipment slips a quarter, revenue and margin both drop. Management says none of the key molecules lose patent protection before 2030 and expects newer molecules and peptides to fill the gap after that. The bet is now more spread out (peptides, Kakinada, a new R&D centre), but that's capex today for revenue in FY28 and later.

| Trigger | What management said | Evidence so far | Horizon | Strength | Change since last report |
|---|---|---|---|---|---|
| CMS commercial molecules | Handful of molecules drive revenue, no patent cliff before 2030, more launches in the next 1-2 years. | H1 income up ~36%, but Q2 alone fell ~11%. | Now - 2030 | Strong but lumpy | ↓ weaker quarter, half-year fine |
| Peptide plant | Module 1 commissioned; Modules 2-4 only once Module 1 fills. | Built for a couple of projects; validation revenue in 6-9 months. | FY28+ | Moderate | ↑ plant now live |
| Development pipeline | Record RFPs; more big pharma. | Phase 3 projects 8 → 13; one NDA and 9 IND filings supported. | 2-5 yrs | Moderate | ↑ more late-stage work |
| Kakinada site | Long-term land bank; judge on long-term return. | Land bought; no plant plan yet. | FY29+ | Unproven | New |

## 4. Management-consistency scorecard

| Period | What was promised | What actually happened | Verdict |
|---|---|---|---|
| Q3 FY24 | FY25 will be a soft year. | FY25 sales down ~5%. | Delivered |
| FY25 | Growth resumes in FY26. | FY26 sales +37%. | Delivered |
| Q4 FY26 | Record Q4 margin "not repeatable". | Margin came down to 35.5% in Q1 and 22.9% in Q2. | Delivered |
| FY25-FY27 | Peptide plant opens ~July 2026. | Commissioned by Q2 FY27, about two months late. | Partly (small delay) |
| Q1 FY27 | Plan on 25%+ EBITDA margin. | Q2 at 22.9%; H1 about 30%. | Partly |
| Q1 FY27 | ~20% growth in FY27 and FY28. | H1 up ~36%; no number repeated this call. | On track (too early) |
| Q2 FY27 | Specialty generics recover by Q4. | Too early. | Too-early |

**Narrative drift:** none. The story is still CMS molecules, specialty generics, capacity and peptides, and the "judge us over years, not quarters" line has been there for three years. What's new is how much they're spending ahead of demand: land at Kakinada, more land at Unit 1, a peptide block that will sit partly idle, and a bigger headcount. That's fine if the pipeline converts. It's also why a soft quarter like this one hurts the margin more than it used to.

## 5. Bottom line

**Durable earning trigger? → YES** vs last quarter: unchanged

Q2 knocked the confidence a bit but didn't break the thesis. The commercial CMS molecules are still the engine, the half-year is up about 36%, there's no patent cliff before 2030, and the pipeline behind them grew. The catch is plain: about three molecules carry the business, so quarters swing hard. Anyone buying this has to be fine with quarters like this one.

## Management consistent? → YES vs last quarter: unchanged

They said up front that Q2 was below trend, gave the reasons, and their "don't judge one quarter" line is the same one they've used for years. Two small dents: Q2 margin fell under the 25% floor they set last quarter, and the CEO wouldn't repeat the 20% growth number. Neither changes the story, but watch whether H2 makes up the gap.

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Sources: Neuland Laboratories Q2/H1 FY27 earnings-call transcript (3 Nov 2026) via Screener.in; Q1-2027 and Q4-2026 concall-tracker reports for earlier calls; Screener snapshot tables. Figures are management-reported total income unless noted. Not investment advice. Do your own due diligence.